Balance of Payments

IMF BOP DOCUMENT

Definition: The balance of payments is a comprehensive record of international receipts and international payments between the residents and government of a country and the rest of the world over a period of time usually a calendar year.

The balance of payments summarises the economic transactions of an economy with the rest of the world

These transactions include

Australias balance of payments captures the transactions between Australian residents and the rest of the world, in a given period

Residents are defined boradly to include people who live in Australia businesses that operate in Australia, the Austrlian government and other organisations

A record of all economic transactions between the residents of Australia and the rest of the world

Residents- individuals, firms and the government

Economic transaction- When something of value is provided by one party oto another. Most transactions will involve an exchange.

What is it ?

Divided into two account- current account and the capital and financial account

Each transaction in the BoP is recorded as consisting of two equal and opposite entries

> Credit: Exports of goods and services income receivable increase in foreign liabilities, inflow of currency
>
> Debit: Imports of goods and services, income payable, increase in foreign assets, outflow of currency

Current account

The current account captures the net flow money that results from Australia engaging in international trade

Records current (short term) flows of funds into and out of a country

Concerned with transactions involving goods, services and income

In economic analysis most attention is usually given to the trade balance which records the difference between the value of our exports and imports of goods and services

This is because the trade balance forms part of GDP

components: goods(import and export) , services (goods and services)

- **Trade balance:** The value of goods and services that Autralian residents export less those that they import
- **Primary income balance:** The income that Australian residents earn from minus what they pay to, the rest of the world from working (eg wages) and from financial investments (eg dividends)
- **Secondary income balance:** Consists of two parts
    - The income that Australia residents earn from, minus that they pay to, the rest of the world from the government (eg tax payments and refunds)
    - **Current transfers:** Transactions between Australian residents and the rest of the world where one party provides something to be consumed by another party without receiving anything in return

- Trade (Goods): exports of merch + in credit imports of merch - debit
- Trade services: exports of services + credit Imports of services - debit
- Primary income: interests, profits, dividends
- Secondary income: Government aid and grants, gifts and remittances

- Income
    - Primary:
        - Compensation of employees
        - Investment income - income received from investments including profits, dividends, rental income and interest repayments
    - Secondary

Transactions where real or financial resources are provided (Goods, services or financial assets) but nothing of economical value is received in return eg foreign aid, remittances, allowances received by overseas students

Capital and Financial account

Capital account: Records migrants asset transfers, capital transfers and the acquisition/disposal of non-produced non-financial assets (copyrights)

Captures Australia's net change in ownership of assets and liabilities

Financial account: records transactions in physical and financial assets

Records long term flows of funds into and out of a country

Records transactions in financial assets and liabilities such as shares, securities and loans between residents of Australia and residents of overseas countries

Capital transfers- where only one party has transferred ownership of something to another party without receiving anything in return capital transfers include things such as debt forgivenes non life insurance claims and investmant grants

Non financial non produced assets- this type of asset includes intangible assets eg brand names and rights to use land or water

Types of investment in financial account

Transactions between parties that involve a change of ownership of Australia's assets or liabilities

It is structured according to the different classes of investment that owners of these assets or liabilities can undertake

Direct investmentL Undertaken with the intent of long term investment and exercising a sginificant degree of influence in its management >10percent of ordinary shares in a voting stock

Portfolio: More short term in nature and speculative <10 percent

Other investment: Investment other than direct or portfolio e.g. trade credits(where importer purchases goods from overseas and does not pay for the goods until they are received), loans, currency and deposits(where money is deposited or withdrawn from banks across borders or banknotes and coins are transferred between countries

Reserve assets: Financial assets controlled by the RBA e.g. gold, foreign currency. These assets are controlled by RBA to meet policy objectives such as intervention in the foreign exchange market and to assist the Australian government in meeting its commitment to the IMF

Financial derivative: THe purchase or sale of financial derivatives ie financial contracts between two parties where the balue is derived from another financial instrument such as a bond or share or a market index. These transactions involve the exchange of risk between parties rather than funds

Relationship between the accounts

The current account is always offset by the capital and financial account so that the sum of these accounts the BOP is zero

When the balance of one account is in surplus the balance of another account must be in deficit

When a country trades with other countries, its imports of goods and services are unlikely to be equal to its exports

If imports are greater than exports it has a defecit in its trade balance and since this it the most important component of the current account it is also likely to have a current accoutn defecit

IT is therefore importing more than it is exporting

If there is a current account defecit there must be a financial account surplus which provides it with the foregin exchange it needs to pay for the excess of imports over exports

The surplus on the financial account may arise from investments in physical or financial capital by foreigners including loans from foreigners

It follows then that a deficit in the current account is matched by a surplus in the financial account

If the economys exports of goods and services are greater than its imports it has a surplus

When there is a surplus in the current account the country is accumulating foreign exchange which it can use to buy assets abroad this represents a rise in exports to dispose of foreign exchange

It follows then that a surplus in the current account is a deficit in the financial account

Australia has tended to borrow from overseas reflecting investment

The capital flowing into Australia is recorded as a credit in the balance of payments and it is a capital and financial account surplus

This is met by a current account deficit recorded as a debit

Defecit is caused by the interest australia pays to the world on its international borrowing

Growing of domestic economy

Imports will increase increasing CAD

Surge in domestic investment increase in capital imports increasing CAD

Hence there is a current account deficit the indication that the economy is doing well

CAD rise could also be due to a fall in competitiveness because of an increase in production costs

or rate of inflation

1. Why did Australia record a current account surplus in the June qrt 2019

The maintenance of high iron ore prices which boosted export receipts. Volume of imports also fell which results in an overall account surplus.

1. Why did iron ore prices rise? does this increase or decrease the value of Australia exports

The iron ore price has increased due to interruptions in the supply chain. This would increase cost of production as well as decreasing supply which would cause a rise in prices. This increases the value of Australia's exports since iron ore is Australia's main export

1. What may have increased the volume of Australia's commodity exports

The price rise means that the Australia would want to maximize the profits.

1. What are Australia's three largest imports

Personal travel services, refined petroleum, passenger motor vehicles

1. What factors may have caused a decrease in Australia's imports

When talking about the current account the focus is always on trade. Deficit on one results in a surplus in the other. Trade balance makes up a large amount of the current accounts. IF the current account has a deficit the financial account must have a surplus. This provides it with the foreign exchange it needs to pay for the excess of imports over exports.

Economy exports of goods and services are greater than its imports. Current account surplus. It is buying from foreigners less than what is sells to them. When there is a surplus in CA the country is accumulating foregin exchange which it can be used to buy assets abroad. Represents outflow of money from KFA to other countries (direct or portfolio investments including to loan to other countries.)